



From Bad to BATTERED

The Mumbai attacks have devastated core sectors of the Indian economy, already struggling to cope with the global financial crisis

By Nivedita Mukherjee

You couldn't strike a blow closer to the heart of Indian finance. Mumbai's waterfront, the centrestage of November 26 terror attacks, has been the nation's economic gateway since the days of the British Raj. The iconic Taj and Oberoi hotels stand tall, flaunting India's economic prosperity while the stock exchange, nestled between the two besieged hotels, boasts of proximity to the headquarters of large business groups and the presence of giants like Merrill Lynch, Morgan Stanley and HSBC Holdings Plc.

Therefore, the magnitude of the setback, both in terms of the monetary loss and credibility in the foreign investors' community, can well be imagined. While the financial capital has been hit by Rs 4,000 crore during the attack, according to ASSOCHAM, just getting the Taj back in business is expected to cost Rs 500 crore. However, the psychological damage is tough to estimate. An outraged K.V. Kamath, MD, ICICI Bank, describes India's institutions as vulnerable, whether hotels or any other business establishment. Agrees P.R.S. Oberoi, chairman, Oberoi Group. "These acts of terrorism seek to disrupt our normal daily lives. If we bow to such pressure, we are helping the terrorists to succeed in their mission."

Tremors from ground zero are already travelling across the flat world. Board meetings of multinational companies and important conferences showcasing India's global clout have been cancelled. Nothing surprising, quips R.C. Bhargava, chairman, Maruti Suzuki India. "It will also affect the visit of foreigners to India. We need to be more proactive than reactive." India, till last year the place to be and the destination for the boards of global corporations, is now among the 20 most dangerous places in the world. Venu Srinivasan, chairman, TVS Motor Company, fears that the Mumbai crisis may have

severely dented India's image as a favourable place to live in and do business.

The global pinstripe brigade is already in cancellation mode. While consultancy major KPMG has postponed the global meet of its CEOs, other business travel is being put off indefinitely with foreign countries issuing travel advisories to their citizens. Daiichi Sankyo Company, Japan's third-largest drug maker, has decided to stop all travel to India until safety is assured.

The IMPACT

- Postponement of global conferences
- Business travel cut down after advisories
- Hotels to slash tariffs for survival
- Aviation faces 15-20 per cent dip in traffic
- Stringent hiring checks by companies
- Steep hike in terror insurance premiums

Yes, there is a sense of solidarity and a sense of we must overcome. In the past few days, India Inc's resilience has been on full display with Amit Mitra, secretary general, FICCI, toning down any negative impact on the India growth story. "I see only a temporary week-long caution after which the international business community would have to reassess the situation in the light of what India has to offer in terms of 7 per cent growth, democracy and openness. No country has such a portfolio," claims Mitra.

But that assumption may be overstretched. Market gurus warn of an incalculable impact on the investment climate what with the uncanny timing of the attack, coinciding with a global